

HEDGEYE DAILY DIGEST

Friday, August 7, 2026 • GMT+8 Edition

Top line: Hedgeye is leaning into an **August Quad shift**, with the new 3-month U.S. Quad path reading **3-1-2 (Aug-Sep-Oct)** — a backdrop Keith McCullough calls bullish enough to broaden U.S. equity exposure beyond the mega-cap crowd. But the desk is flashing warnings underneath: **South Korea's KOSPI is crashing (-31% from its peak)**, high-beta momentum keeps bleeding, and **Nasdaq implied volatility looks complacent**. The playbook: own the equal-weight tape (**RSP** at all-time highs), rotate **out of Utilities and into Healthcare / Energy / Gold**, stay net-long software / net-short semis, and position probabilistically rather than betting on any single forecast.

GMT+8 reader's edition. This issue covers the two most recent U.S. publishing sessions: Thursday, August 6 (EDT) as "Today's Publications" and Wednesday, August 5 (EDT) as "Yesterday's Publications."

Today's Publications — Thursday, August 6 (EDT)

Early Look — "The Paradise Paradox"

Early Look • Josh Steiner, CFA • 08/06 7:58 AM EDT

Steiner opens with John Calhoun's infamous "**Universe 25**" mouse experiment — a paradise of unlimited resources that still collapsed to zero once the mice lost their purpose — and maps it onto modern macro: investors today drown in **abundant data and tools** but often lack a **repeatable process** for separating signal from noise. His antidote is Hedgeye's two-legged framework: **the Quads** answer where the growth/inflation cycle is going, while **the Signal** (price, volume, volatility) shows what markets are doing right now.

The cleanest case study is oil. In **March**, crude posted its largest one-week price shock in roughly **40 years** (Bullish Trend). By **May**, **headline CPI hit 4.25%** (up from **2.41%** in February) with energy **+23.5% Y/Y** — and "stagflation" became consensus. Then the MOU, partial Hormuz normalization, and a retracement from **\$90 in early June into the \$60s** flipped both WTI and Brent from **Bullish to Bearish Trend**. Same commodity, opposite Signal — proof that Trend is a duration, not a permanent conviction.

Where the cycle stands (Nowcast):

- **Q3 2026:** shallow **#Quad4** — growth decelerating **-17bps to 1.93%**, inflation slowing **-31bps to 3.55%**. A shallow Quad 4 historically backtests more like Quad 1.
- **Monthly Aug-Oct: Quad 3 → Quad 1 → Quad 2.** August CPI Nowcast nudged **-5bps to 3.60%** (still an acceleration vs. July, but milder).
- **Q4 2026: #Quad2** — growth **+25bps to 2.18%**, inflation **+20bps to 3.75%**; monthly Quads **2-1-2** (growth-accel odds 55% Oct, 71% Nov, 76% Dec).
- **Q1 2027: #Quad4** — both growth and inflation slowing; **February (63%)** and **May (78%)** flagged as probabilistically difficult months.

Investment implication: favor **probabilistic positioning** over point forecasts — monthly outcomes oscillate violently around each quarter's central tendency. Keep the "why" (the process), not just the data.

Asset	Range	TREND
UST 10Y Yield	4.57–4.74	Bullish
High Yield (HYG)	78.93–79.74	Bullish
Invest. Grade (LQD)	105.4–107.2	Bearish
S&P 500 (SPX)	7354–7795	Bullish
NASDAQ Comp (COMPQ)	24400–26778	Bullish
Russell 2000 (RUT)	2950–3051	Bullish
Technology (XLK)	173–188	Bullish
Health Care (XLV)	160–168	Bullish
Real Estate (XLRE)	44.44–46.30	Bullish
Volatility (VIX)	14.76–19.49	Bearish
U.S. Dollar (USD)	98.75–100.74	Bearish
Crude Oil (WTIC)	72.45–82.79	Bearish
Natural Gas	2.59–2.79	Bearish
Gold	4029–4301	Neutral
Copper	6.40–6.85	Bullish
Silver	55–63	Bearish

KM's Top 3 Things — KOSPI / Momentum / Sectors

From The Desk • Keith McCullough • 08/06 7:19 AM EDT

McCullough frames the **August Quad Shift** as an opportunity for those who avoided July's damage — "lots to do." **(1) KOSPI:** Dr. KOSPI failed at Hedgeye TRADE momentum resistance, **down -4.6% overnight, -22% over the past month, and crashing -31% from its #MOAB peak**; he argues **Nasdaq vol (VIX)** is far too complacent, with QQQ implied vol at a **-19% discount** to 30-day realized. **(2) Momentum:** High-Beta Momentum fell another **-2.4%**, dragging 1-month Momentum to **-14.2%**; Hedgeye stays **net-long Software / net-short Semis**, with **Long Gold** (grossed up ~7 trading days ago) leading the Factor Exposure Dashboard. **(3) Sectors:** exiting **Utilities (XLU, -1.0%)** in July was pivotal versus core **Healthcare (XLV, +1.3%)**; he **bought more XLE into the close** despite oil flipping to Bearish Trend, and remains long **VYM, XLRE, IAK, FAB, DESK, NOBL, IPAY, RSP**. Immediate-term ranges: **SPX 7354–7795; UST10Y 4.57–4.74%**.

MOMO Tracker — Mag7 (-0.6%), Dispersion Rising

Momentum Stock Tracker • Christian Drake & Ryan Ricci • 08/06 9:13 AM EDT

The Mag7 basket slipped **-0.6%** with **performance and TREND dispersion rising** — leaders and laggards are separating. The tracker also flagged an **all-time-high market-on-close (MOC) imbalance**, echoing the desk's "lots to do" theme as underlying momentum quietly deteriorates beneath a calm index surface. (Detailed metrics reside in the product's live dashboard.)

The Macro Show — Summary Notes

The Macro Show • 08/06 10:37 AM EDT

South Korea and high-beta momentum are the central downside signals. The KOSPI failed intermediate-term momentum resistance (**-4.6%, -22% on the month, -31% from peak**); Hedgeye stays **short EWY** and **SoftBank** as leading indicators for global semis and speculative tech. The desk exited former longs **SanDisk, Marvell and Applied Materials** before their drawdowns accelerated. Sector rotation moved **out of Utilities into Healthcare**, and the U.S. stance stays selective — long the **equal-weight (RSP)**, not the cap-weighted S&P, even after three straight days of higher highs. The new **3-1-2 Quad path** is bullish, but the SPX range still implies **~5% downside**.

Standout single-name: **BJ's Restaurants (BJRI)**, a Signal-Strength long added in May and **up ~60%** since. **Nasdaq volatility (~24, range 22–31)** looks complacent, with implied vol at a **~19% discount to realized** (versus a premium a week earlier); the desk is short **HubSpot** and **AppLovin**. **Gold** exposure was increased and now leads the Factor Dashboard, and **Energy (XLE) is a new long** (Exxon the primary driver) after Keith conceded he wrongly exited copper. Internationally: **no European positions** (though Germany/France/Spain could attract flows), **Colombia** long at new highs, and **Israel/Qatar** short (Qatar the largest short). **Netflix** may flip from short to long after moving to a bullish TRADE with a higher low. The book holds **63 Signal-Strength longs and 52 shorts (115 positions)** — execution and stop discipline over earnings-guessing.

Capital Allocation Pro — Key Callouts & Model Portfolio Update

Capital Allocation Pro • 08/06 1:14 PM & 1:05 PM EDT

The Capital Allocation team posted its **August Key Callouts video** and a **Model Portfolio Update video** (both recorded **August 6**). The **August 2026 Monthly Commentary** went out on **Wednesday, Aug 5**, and **Trend & Tail levels for all 68 ETFs** were refreshed using **July 31 closing prices** (standard 3–4 week cycle). Subscribers are pointed to the Daily Dashboard, the FAQ document, and the UCITS-equivalent guide for European investors.

Signal Strength Stocks — 65 Stocks (7 Added, 5 Removed)

Signal Strength Stocks • 08/06 12:54 PM EDT

Added (7): FSLY, PVH, REAL, BBWI, HD, W, TEAM. **Removed (5): CASY, XYZ, BROS, TWLO, ETSY.** The additions skew toward beaten-down retail/consumer and software; the removals include a same-day round-trip on **TWLO** (added Aug 5, removed Aug 6).

Yesterday's Publications — Wednesday, August 5 (EDT)

Early Look — “Broadening Into Quad 3-1-2”

Early Look • Keith McCullough • 08/05 7:53 AM EDT

What: McCullough's flagship note celebrating a two-day short squeeze while keeping the portfolio broad and disciplined.

Why: With the **monthly Quad Count at 3-1-2**, “Buy Tech” logic applies in any Quad except when *entering* Quad 4 — supporting broader U.S. equity exposure as the dollar weakens.

What moved: The **Retail Investor basket +5.5%**, **Consensus Short basket +4.2%**, and **Profitless Tech +4.0%** on the day — though the retail basket is still **-2.9%** over the past month. **PLTR +29%** on **175M** shares (still **-22%** from its 2025 chase to **\$207**), **SPCX +9%** on **144M** shares, **NVDA +3%** on **135M** shares.

Key numbers: NVDA closed **\$211**, Bullish TRADE and TREND, **Alpha Code 205/207**, Risk Range **\$190–216**; **RSP (equal weight) hit an all-time high**; the book holds **12 U.S. equity ETFs alongside RSP**.

Takeaway: Don't chase the squeeze or envy someone else's daily return — **broaden** exposure and let the equal-weight, #GoAnywhere portfolio compound while avoiding drawdowns (Process Rule #1).

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Russell 2000 (RUT)	2936–3070	Bullish
Technology (XLK)	173–190	Bullish
Health Care (XLV)	159–167	Bullish
Real Estate (XLRE)	44.77–46.30	Bullish
Volatility (VIX)	15.03–20.65	Bearish
U.S. Dollar (USD)	99.01–101.17	Bearish
Crude Oil (WTIC)	73.09–84.68	Bearish
Natural Gas	2.60–2.90	Bearish
Gold	4018–4175	Neutral
Copper	6.36–6.70	Bullish
Silver	57–62	Bearish

MOMO Tracker — Mag7 (+0.7%), GOOGL/NVDA Bullish

Momentum Stock Tracker • 08/05 8:50 AM EDT

What: Momentum snapshot for the Mag7 and majors. **Key numbers:** Mag7 **+0.7%**, with **GOOGL** and **NVDA** both back to **Bullish**, **VIX** below **19**, and **positive gamma** conditions. **Takeaway:** “Good Times” for momentum on the day — but the complacency (sub-19 VIX, positive gamma) is exactly what the next day’s notes flagged as a setup risk.

The Macro Show — Summary Notes

The Macro Show • 08/05 10:29 AM EDT

What: Position changes and the Quad-3 stagflation framing. **How:** signal-driven rotation, not narrative-chasing. **Key moves:** increased **Brazil (EWZ)**, flipped the **Philippines (EPHE)** from short to long, reduced **New Zealand**, added **gold** near a higher low (planning to trim into strength), and reallocated toward **Healthcare (XLV)**; **CRAK** and **XLE** stay long even as crude weakened.

Macro backdrop: the **USD** broke bearish (TRADE and TREND) while the **yen** turned bullish; the **SPX/USD 30-day correlation** fell to **~-0.59**; **371 companies** reported with **~52%** showing earnings growth, supporting broadening; **Tier1 Alpha gamma** throttle **~21** (a trim signal); **silver +3%** but still below TRADE (**~62**) / TREND (**~71**). **Takeaway:** Quad 3 = dollar-down, yields-up, inflation reaccelerating (**Aug nowcast ~3.65%**, **10Y range 4.58–4.74%**) — broaden into EM, energy equities and tactical gold; don’t chase the two-day rebound.

Signal Strength Stocks — 63 Stocks (2 Added, 3 Removed)

Signal Strength Stocks • 08/05 12:26 PM EDT

Added (2): **AMZN**, **TWLO**. **Removed (3):** **CVX**, **TTWO**, **CRON**. Notable: **AMZN** joined the long list (consistent with the Aug 4 MOMO note flagging AMZN turning Bullish).

Capital Allocation Pro — Monthly Commentary | Updated Levels

Capital Allocation Pro • 08/05 2:53 PM EDT

What: The **August 2026 Monthly Commentary** with refreshed model-portfolio levels. **Key detail:** **Trend & Tail levels for 68 ETFs** were updated on **July 31 closes** (standard 3–4 week cycle), with the **August Key Callouts video** flagged as forthcoming (subsequently released Aug 6). **Takeaway:** “Pull vs. push” — the levels live on the Daily Dashboard; emails are sent only when the research demands immediate attention.